Physicswallah (PWL)

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Call: Dec 2025

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PHYSICSWALLAH
LIMITED
Date: December 15, 2025

National Stock Exchange of India Limited
Exchange Plaza, C -1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051 India BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001 India

Scrip Code: 544609
Symbol: PWL

Sub: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Earnings Conference Call pertaining to the Unaudited Standalone and Consolidated Financial Results for the quarter and half year ended September 30, 2025

Dear Sir/Madam,

This is in continuation to our earlier letter dated December 09, 2025, regarding audio recording of the Earnings Conference Call held on December 09, 2025, at 0 9:00 A.M. (IST) on the performance of Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and half year ended September 30, 2025 .

Please find attached herewith the transcript of the above Earnings Conference Call.

This disclosure will also be hosted on the Company's website viz. https://www.pw.live/investor -relations

You are requested to take the above on record.

Thank you.

Yours sincerely,
For Physicswallah Limited

Ajinkya Jain
Group General Counsel, Company Secretary & Compliance Officer
Membership No.: A33261

Page 1 of 19 Physicswallah Limited Q2 FY26 Earnings Conference Call December 09, 2025 MANAGEMENT: MR. ALAKH PANDEY – CHIEF EXECUTIVE OFFICER AND WHOLE TIME DIRECTOR – PHYSICSWALLAH LIMITED MR. PRATEEK BOOB – WHOLE TIME DIRECTOR – PHYSICSWALLAH LIMITED MR. AMIT SACHDEVA – CHIEF FINANCIAL OFFICER – PHYSICSWALLAH LIMITED MODERATOR: MS. GARIMA MISHRA – KOTAK SECURITIES

Moderator: Ladies and gentlemen, good morning and welcome to the Q2 FY26 Earnings Conference Call hosted by Physicswallah Limited. As a reminder, all participant lines will remain in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star, then zero on your touchtone telephone. Please note that this conference is being recorded. I will now hand the conference over to Ms. Garima Mishra from Kotak Securities for opening remarks. Thank you and over to you ma'am. Garima Mishra: Thank you, Ryan. Good morning everyone. It is indeed a great pleasure to host Physicswallah’s maiden earnings call after its stellar listing. Joining us today to discuss earnings for the second quarter and half year ended 30th September 2025 are Mr. Alakh Pandey, CEO and Whole Time Director, Mr. Prateek Boob, Whole Time Director and Mr. Amit Sachdeva, CFO. The results and shareholder's letter have been uploaded to the stock exchanges and are available on the company's investor relations website. Before we begin, I'd like to remind you that certain statements made on this call may be forward-looking in nature and should be viewed in conjunction with the risk factors disclosed in the company's filings. With that, I'll now hand the call over to Mr. Alakh Pandey. Alakh Pandey: Hello everyone. Good morning, good afternoon, good evening, whichever part of the world you are joining from. First of all, thank you everyone. Thank you so much for being a partner at PW now and literally changing the educational landscape of Bharat. Thank you everyone or should I say congratulations as well. For now, as you are one of the disruptors in education in India, part of that mission. At PW, we have always believed and we will still believe that education should not be a luxury. It is a necessity. It is the right of every kid. And we are here to provide that basic right to each of the students of Bharat. We are here to reach the remotest village of Uttar Pradesh, Bihar, Rajasthan and all other states of the India. IPO was a good milestone for me, for Prateek, for the entire team. Yeah, it was a good success, but along with that, a lot of responsibility. We feel a lot of responsibility from all the shareholders who supported us, who were there with us, who trusted us, even with a lot of marks on the education sector in the terms of financial world. But PW has proven that wrong and will continue proving that. We feel we are still scratching the surface. We have just started. The whole Bharat is waiting for us. We have the right pedagogy, right content, as well as the right technology. There are enough amount of students waiting for all of us to be taught, to be brought to the mainstream Bharat. Over to you, Prateek and Amit ji.

Prateek Boob: Thank you, Alakh sir, for opening remarks. So, welcome you all. Prateek Boob this side. We have published our second quarter results. And overall, company is looking quite strong in terms of enrollment growth, in terms of overall revenue growth, path to profitability. A good jump in our PAT numbers from last year quarter two to this year quarter two. Overall, H1 looks quite strong to us. In general, quarter three is the strongest quarter for the company. And quarter three will also be PAT profitable. We have a very unique business model, which is very affordable courses for Bharat. And there's thousands of students studying together in a live classroom environment. And we continue to teach the remotest part of the country with the help of internet and mobile penetration. If you see our offline growth numbers in terms of enrollment, in terms of overall penetration is also increasing at a very rapid rate. Happy to answer any of your questions in terms of numbers. A

nd before we jump to that, I would like to invite Amit and if you want to add on anything here. Amit Sachdeva: Thank you so much, Prateek sir. Just a quick summary of our quarterly Q2 FY26 performance. We did upload all the materials on our website yesterday and the necessary work has been done on the stock exchanges. So, overall revenue from operations increased ~26% year-over-year to INR1,051 crores. Our adjusted EBIDTA grew ~38% to INR269 crores with margin expansion from 23% to 26%. Our pre-Ind AS EBIDTA, we also started reporting IGAAP or pre-Ind AS EBIDTA as part of our recognition now. So, that in Q2 came at INR161 crores, almost a jump of ~37% year-over-year improvement. Our Q2 PAT came at roughly INR70 crores, up ~70% year-over-year. Like Prateek sir mentioned, I think our enrollments are looking strong both in online and offline. Our online ACPU continues to grow significantly. We saw an ~8% increase in our online ACPU and we feel that our academic cycle, depending on how the enrollments come in, we expect the full year number to be in the same region. In terms of Q3 performance, Q3 is going to be our strongest quarter depending on how the academic cycle is and as part of one of the questions that we've also answered, you got a chance to look at the Q&A. In terms of the cyclical nature of our business, Q1 comes strong in terms of our enrollments. Q2 and Q3, where most of our batches run both from an online and offline perspective, come strongly in terms of our revenue recognition based on the batches that keep on happening. And Q4, as the batches run down, enrollments come back and one of the highest quarters in terms of collections as we launch Vishwas Diwas, which is our largest event in terms of student enrollment. So that's a quick summary of our overall financial performance. We can now open up the forum for any Q&A that the team might have. Moderator: Thankyou! Ladies, and Gentlemen we will now begin the question and answer session anyone who wishes to have the question, may press star and one on their touch tone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use their handsets while asking the questions. Ladies and Gentlemen we will wait for a moment while the question queue assembles.

We take the first question from the line of Vivek M from Jefferies. Please go ahead. Vivek M: Hi, good morning team. My questions are going to be, and apologies if these are naive questions, but slightly basic. So first is, let's say now that you're a listed company, how do you think about balancing growth and profitability? Because the reason how you started, the ending page says that education is the ornament of all. How do you balance the pressure of publicly listed company, which also focuses on profitability, as compared to growth? In an unlisted setup that is easy. How do you do it now that you're listed and there are going to be quarterly pressures, so to speak? Prateek Boob: Thank you, Vivek, for asking this question. Of course, to run a listed company, you have to see top line growth and bottom-line growth. That is essential for any company. We as a company is on a mission to teach Bharat. That doesn't mean that we need not to give profitability. If you see our results of quarter 2, the entire H1, we have a ~29% revenue growth. Bottom line also improved significantly. So we are performing this historically, both top-line improvement and bottom-line improvement. If you see, with the help of technology and Internet, we have already disrupted the prices a lot. That is, the entire preparation of IIT and NEET, which is a year-long live learning, is still happening for ~INR4,000. We have increased our online ACPUs by just ~8%. Still, we have delivered a growth of more than ~30%. Where is all this coming from? Because there are a lot of kids in India who do not have access to

a good quality teacher. Meaning, of those ~25 crores kids, we are having less than ~2% market share. So with the smartphone penetration, with the Internet penetration, with expanding to state boards as exam categories, K-10 as exam categories, and adding new exam categories, the enrollment growth is still a long way from here. As well as we are sitting on a very affordable pricing. So there is a lot of scope for ARPU or ACPU improvement. For example, the whole day's study is ~INR10 per day, which means we are getting it done in less money than a tea. The kids are also having cheaper Internet by our courses. So there is scope for ARPU and ACPU improvement, but not at a dilution of the vision of the company, which is to make education accessible for the entire country. Vivek M: Got it. Very interesting. Sir, I don't want a formal guidance from you, but let's say over the next 3-5 years, how do you think your growth trajectory should be? Year-to-year, there may be blips along the way, but in 3-5 years, how do you feel , the growth numbers should be for you? Prateek Boob: We want to grow sustainably, both revenue improvement as well as profitability improvement. Both numbers will you see in the next 3-5 years, because the TAM is huge. We want to grow sustainably. We have a very unique business model in which we make Internet free for our communities. If even a child doesn't have ~INR3,000-INR4,000, still he can still study free on YouTube and there also his selection guarantee is that much. You can say, over the period of time, marketing costs will get leverage. Payroll costs as a percentage of revenue will get leverage as well as trajectory for enrollment growth will start to look strong. So both top line and bottom line, you will see a good improvement in the next 3-5 years.

Vivek M: Got it. A couple of more questions, if I may. On the, let's say, expansion into other -- both actually South as well as other than JEE and NEET, do you think you are spreading -- as an outsider, I feel you are spreading yourself a bit too thin. Do you think that is the case and how do you manage when you have so many things? Almost half of your total enrollment was around JEE and NEET. Now that has come down to about ~35%. How do you manage as you are adding more categories? Prateek Boob: Right. I am just referring to the question number 14 of our shareholder letter. I am glad that you have brought this thing up. JEE and NEET are the early exam categories that we started in 2020. If you see there as well, the overall revenue improvement is in double digits and continues to be strong growth for upcoming years. But dependency on JEE and NEET has reduced drastically over the years because the playbook which we have created, create communities on JEE and NEET, make it free on YouTube, your child will download your app, take your paid courses, keep your marketing expense low. So this freemium model started showing its magic in other exam categories as well. So if you see in terms of percentage of enrollment, JEE and NEET was ~36% in 2024 and now it is ~31% in 2025. In the future, if you see the percentage of H1 from 2025 to 2026, what is the percentage of total enrollment coming from JEE and NEET exam categories, that is also on decline. So new exam categories are growing very rapidly. In terms of JEE and NEET growth rates, we have taken a good market share in Hindi heartland. This is Central India and this is Southern India where we are also growing very rapidly. So overall there is a scope to do multi-fold growth in JEE and NEET itself. And in other exam categories, we have diversified our business. Vivek M: Got it. And last question is, do you think there is a sense, whether it is about new region or getting bigger success and share in the new categories? M&A, Do you think because I am guessing that there will be a lot of regional jewels who are doing great in their catchment area b

ut are highly regionalized. Do you think there is a sense in acquiring those? Prateek Boob: If you see, we are India's biggest education company which is listed. And we will have all the opportunities for market consolidation because we are the largest and we are a listed company. So access to the capital becomes easier once you are listed and we are sitting on a lot of cash as well. At the same time, any M&A, the company looks at it from the length that either they give us a geographical expansion, that if we are not present in any geographical or specific language, then we do M&A there or they give us a categorical expansion. That there is an exam category in which our target audience is not there. So we have made these 2 thesis. We have successfully demonstrated in the past also. And this year also we have done one M&A with Sarrthi IAS which is in the UPSC domain. The target audience that they used to teach, that was slightly different from PW target audience. And we have taken 40% stake in Sarrthi IAS. We will have 85% stake till FY '28. And Sarrthi growth last year and this year is quite strong. You will get to see more than ~30%.

So we have the opportunity but at the same time, one has to be very conscious to do these things because 2 companies putting together, 2 different cultures putting together M&A, it is very important that there is cultural alignment, strategic alignment. It is a thing which one has to do with the utmost responsibility. But wo do have, we are sitting on a lot of opportunity at this point of time. Vivek M: Got it. Thank you for patiently answering all my questions and wishing you all the very best. Prateek Boob: Thank you! Thank you! Moderator: Thank you. We take the next question from the line of Shubham Dalia from InCred Equities. Please go ahead. Shubham Dalia: Hi, good morning and thank you for the opportunity and congratulations on the great results. I have 2 questions. The first one is on the top line growth. Again, if you cannot give a formal guidance, that is fine. But for this quarter, the top line grew at around 26%. The last quarter we did Y-o-Y, around ~33%. So in FY '25, we were at around 48%. So how -- because the nature of the business is that you have a visibility of the entire year. So how are you looking at the second half of the year in terms of the top line? That is my first question. Prateek Boob: So overall, in terms of macro, the quarter 3 is the strongest quarter for the cyclicity nature of the company. Quarter 3 is the company's highest top line and highest EBITDA margin quarter. And in quarter 3, upwards of 20% EBITDA, which we have done in quarter 2, a number of 15% EBITDA. If you see the quarter 2 EBITDA numbers. And in terms of revenue growth also, if you see. So in H1, if we compare the growth of H1 from last year to H1, then we have a 29% growth of H1 from last year to this year. And in that, 49% contribution from online operations is coming, 47% contribution from offline channels is coming, and 4% from other channels is coming. Which is, we have covered in our shareholder letter as well. And in H2, the revenue will be more than H1. That is what I can give you guidance Shubham Dalia: Okay. Thank you, Prateek. The second question is on your offline expansion, if you give some understanding. Now, lastly, the overall split is kind of balanced in online and offline. Down the line, like you are doing offline expansion, now you have centers above 300. So how do you see that split going on down the line, let's say, 2 years, 3 years down the line, of offline and online, because there is more ARPU in offline. So how do you see that revenue split in online and offline? Will it be balanced or will it get tilted towards offline? How will it be? Prateek Boob: So, in other words, it will tilt towards online. Because if you plot the historical numbers in offline, you will see that we have expanded very

quickly in offline. With offline expansion, there is a slight loss in the first year. Because offline centers get profitable in the second year. And the return of capital comes in the third year. So, in the last 2 years, in FY '24-'25, we opened 170 centers.

So, because of offline, the contribution of losses has gone to the peak. In the coming time, next year, we are opening 75

centers. In which there are 45 Vidyapeeth centers, 10 Pathshala centers, and 20 other centers in which there are government exams and some of our subsidiary centers. So, this art of learning and art of opening a center and running it with minimized losses in the first year, this playbook has improved over the period of time. Moving forward, we will keep doing sustainable growth in offline. Revenue mix is near equal. Online is 49%, offline is 47%. It will tilt a little towards online. Now, as we mentioned in our use of proceeds, in the next 3 years, we are going to open ~200 new centers. So, on an average, we will open ~70 centers per year at a run rate. So, next year, we are going to open ~75 new centers. Of course, there is ARPU there. And that is a compounding story that will continue for the next 10 years in which we will keep opening centers. And there is a lot of leverage left from operational efficiencies. Shubham Dalia: Yes, that answers my question. Thank you so much, Prateek and Alok. And all the best to the team for the next quarters and years. Prateek Boob: Thank you! Thank you! Moderator: Thank you. We take the next question from the line of Gaurav Malhotra from Axis Capital. Please go ahead. Gaurav Malhotra: Hi. Thank you for the opportunity and congrats on a good set of numbers. Just 2, 3 questions. First of all, your centers -- the center booth - has been pretty healthy. So, if you can just give us some sense of, how are the centers in the last 9-12 months? How are they sort of tracking in terms of utilization, margins, etc.? Prateek Boob: So, the center growth -- if I tell you about the unit economics or box unit economics of the center -- typically, there is a box of a center in which there are ~1,000 seating capacities. It sometimes operates in 2-3 shifts. A center starts with an investment of ~ INR2.5 crores. That is a typical investment. We have these centers. And in the first year, we take admission of some ~1,500 students. and minus ~6% EBITDA is contributed by a typical offline learning VidyaPeeth NEET JEE center. Next year, when we take admission in the second year of operations, when it becomes ~2000, the same center starts giving us 6% of the margin. In the third year of operations, anywhere between ~13%-15% EBITDA margin is taken. In the third year, we take admission of ~3500 students. The center operates in 2 shifts. So, seat utilization is one metric which we closely follow. How are we utilizing the seats? What is the student-teacher ratio? Along with that, there are some engagement metrics. How are the student-teacher ratios and learning outcomes? How are we producing results in that city? How are we increasing the market share of our results in that city? All these key metrics are used to run offline learning centers. Box unit economics are very tightly in place. And business finance continuously monitors the rental percentage. For any new center signing, the rental

should be below a critical threshold. There should be a definite number of online learners in that catchment. Because our offline is linked to online. ~80% of our offline admissions happen through online. So, all these processes make us a very unique offline company. What we did offline in 3.5 years, our competition took 40 years to achieve. Because they are traditional companies. We made physical learning centers. We made tech-enabled offline learning centers. So, that's why we could rapidly scale our offline. And now, here onwards

, we will sustainably grow our offline learning centers chain. Gaurav Malhotra: Just one more question. If you can just help us understand, how do we think about the ARPU growth in the offline segment? First quarter, what was given in the RHP, we had a certain number. And now, we have for 2Q. The growth seems to be a little bit -- how do we think about this for the full year and going ahead? That's the question. Prateek Boob: That's a very good question. I was expecting someone should see this change in pattern. Basically, our ARPU, in quarter 1 and quarter 2, sometimes that doesn't give you the true picture. Because what happens is, as you can see, right now, our ARPU is somewhere around ~INR22,000. And you can see a slight decline from last year. That is ~4% decline from last year's ARPU. So, there are two reasons for this. One, we introduced some short-term courses in our offline. Because they were of 3-6 months nature. So, of course, the courses of 3-6 months nature are of low price. At the same time, the full clarity of Vidyapeeth ARPU can be seen from the year-long picture. But if you look at our offline play, our enrollment has increased ~ 30%. Our revenue has increased ~ 22%, and there is slight decline of ARPU of ~ 4% due to short-term courses. Because in the first half, no picture or color comes out. Entire picture will come out on an annual year basis and not half-yearly basis. So, to hold on ARPU as a metric -- on first quarter or second quarter or third quarter is not the right way we look at business. We look at the annual ARPU picture. And in the annual ARPU picture, Vidyapeeth ARPU will be improved. Addition to your point, from next year, from 1st April 2026, we will show the profitability of EBITDA of our online business and offline business separately so that market will have an even more deeper and fair understanding of how the business is shaping up. Moderator: Thank you. We take the next question from the line of Swapnil Potdukhe from JMFL. Please go ahead. Swapnil Potdukhe: Hi, thanks for the opportunity and congratulations on a successful listing and a good set of numbers in Q2. My first question is more of a clarification actually because you mentioned ~6% EBITDA margin for the offline business in the second year and ~13% in the third year. Just wanted to understand, are these pre-Ind AS margins or these are the reported margins we are talking about?

Prateek Boob: These are the margins which I have told is of Box Unit Economics. These are the IGAAP, pre-Ind AS EBITDA margins, which is our typical Box design. So in the first year, it's minus ~5%, in the second year it's plus ~6% and in the third year, it's plus ~13% IGAAP EBITDA. Swapnil Potdukhe: So this will include the rental cost and everything? Prateek Boob: Everything, rental, everything, central cost everything. Only ESOP adjustment we do in our IGAAP EBITDA. Swapnil Potdukhe: Perfect. The second thing I wanted to understand, obviously, is the difference between your offline and online margins today. I understand you have not disclosed it for certain reasons, but still, if I were to just go ahead and ask you, what would be the gap between the two business margins at a pre-Ind AS level and also how many offline centers today are profitable again at a pre-Ind AS level, out of those 314 centers that you have? Prateek Boob: So, just to clarify you, sir, why didn't we disclose the offline and online margin levels separately? Because when we have to report numbers, every quarter of this year has to be compared to every quarter of last year. Last year, we didn't have that kind of accounting here, that the cost was completely bifurcated between, you know, online and offline, but this year, we are completely tracking and from the 1st of

April, we will rent the online and offline business completely separately. In terms of your question of margin profile of both the businesses, at a steady st

ate, offline business tends towards ~13% EBITDA level and in online business, our early exam categories are giving ~45% EBITDA, IGAAP EBITDA. So, comparing online and offline is like an apple to orange comparison, because offline is a compounding story, it's a high ARPU story, it is like, you can grow it for a longer tenure. Online, it's a very profitable story, it's a cash engine for us, it's our internal cash cow. From that, we are doing all our future expansion as well as in the future, we are integrating online and offline. Online merged with offline is a very intelligent experiment that we are driving in the company. So, to give you steady state margins of online business is somewhere between ~35% to ~45% EBITDA and steady state margins for our offline business is ~13% - ~15% EBITDA. Swapnil Potdukhe: That's very helpful. Just double clicking on the number of offline centers, which you think would be profitable today. I mean, just to -- I know it's a small time, but still? Prateek Boob: So, ~72 out of 117 centers of our Vidyapeeth, which is JEE, NEET offline are profitable. And our offline is not just JEE, NEET. The exam category in which we dominate in the online market share, we start an offline learning center for that. Our JEE, NEET business contributes ~65% of the total offline revenue and almost ~40% of our centers have become profitable. Swapnil Potdukhe: That's very helpful. The second question is regarding your offline center location strategy. I mean, since you are in the offline business for roughly around 3.5 years, my question here is, like, how do you identify centers? How do you locate them? Do you just follow the competition and possibly put up a center there or like, there is some different strategy when you identify the

location for a center. And typically, between two centers, what would be the typical distance? I mean, any thoughts on those lines also? Prateek Boob: So, question number nine, if you read our Shareholder letter, you will get a very detailed answer. But just to emphasize at this point of time, this is a very data-driven strategy as to where to open a center. Our offline is linked to online. ~80% of our offline admissions are from online. Because in online, we are teaching almost 15x more students. And if we have a sufficient online learner base in any pin code, then we go to that pin code and open our offline learning center. And we send notifications to the online learners of all those pin codes or we send them an email, which gives the students awareness about the centers and the students take admission there. So, our offline is actually linked. It's a physical. It's linked to online. So, with this same strategy, we keep opening new centers. And this area's demographics, competition, our internal data, all of this is combined to create an internal model and with this model, we keep opening our offline learning centers. Swapnil Potdukhe: Got it. And one question on the average time spent by students on your platform. I'm asking this because unlike a few other tech businesses where customers tend to stay longer with the platform, students would typically be on your platform or in your centers for a limited period of time. So, typically, till now, what is the average number of years, months that students stay? And the related question to that is like, how do you address the question with respect to constantly need to acquire new students every year obviously, sir, so those things? Prateek Boob: Right. Very, very good question, sir. Like see, first I'll address the question which you have asked. So, basically, what is the journey of a student? Typically, in grade 9, 10, 11, 12, the current student buys the first digital course of his life. So, he gives the class 10 board with us. Then when he comes to class 11, if he is a science student or is preparing for the board or he is preparing for JEE or he is preparing for NEET or he

is preparing for commerce, then he takes his course further with us. Then he comes to class 12, then again either he prepares for the board or competition exam. When he goes to college, he prepares for exams like UPSC, SSC, Banking, Railways, CA, Foundation, CA Inter, or CAT or GATE. So, that makes me a full-stack company. Now, we are seeing this trend that the first digital purchase, which happens in 9, 10, 11, 12 is now going into the younger ages. We are seeing the first digital purchase happening in 6, 7, 8 grade. So, the LTV of our company is already very high. If you compare it with other e-commerce companies, then you will see that the frequency of orders is very high, but there are two metrics which make us very unique as a company. One is monthly active users to daily active users. I stand strongest as compared to any consumer Internet company that how many monthly active users are divided by my daily active users. Second metric is average time spent by a user. On my platform, a paid user spends almost 100 to 120 minutes on a daily basis. That makes me a very unique company. I have so many data points generated by my students. What is their EC, IQ, economic profile, which subject is good, which subject is weak. So, that makes me --fundamentally, I am a teacher.

I am a teacher. I am a digital teacher. I know everything about my students. So, this data is also very precious for us. And average time spent to do e-commerce transaction or a quick commerce transaction is very less. And the number of data points generated in that journey is very limited. So, if you see, even though the student is taking the course for a year, but he is giving it to me for two hours a day. And a lot of data points are generated in that journey. And my mouse is always the strongest in all consumer internet companies. Swapnil Potdukhe: Got it. Just the last one, if I can just raise it. This is with respect to, I mean, what I have seen. Correct me if I am wrong. Typically, State Board exams, Commerce exams, or Defense exams, they will have their own teachers who will have their own brand within a certain community of students. Now, as you expand beyond NEET and medical or JEE, how do you address this question? Because typically, the Edtech businesses are built around the brand of a certain personality? Prateek Boob: Right, sir. So, we have created a data-driven playbook around this. In which every student rates the teacher after the class. And we continuously track the average teacher rating, student engagement, and attendance. You are right. If we talk about the State Board, Maharashtra is different, UP is different, Bihar is different, commerce, there is different, here is different. So, we hire regional teachers. For example, if we have to prepare for the Maharashtra CET, we will go to Maharashtra and do the hiring there. And we will continuously track from the data how is the teacher rating going on, how is the engagement going on, whether the outcomes of the students are improving or not. But at the same time, you have to understand that now every child has a mobile phone. And the local teachers, those local teachers are still charging ~INR20,000. Even if I talk about the State Board, they are charging a minimum of ~INR25,000 a year. Where my ARPUs of online is not even ~ 10% of the local teachers. The teachers we have, because they are teaching a very high number of students. For example, my student-teacher ratio for my online business is ~ 1:10,000. That means we have ~ 500 teachers and we teach ~ 50 lakhs students. So, that makes me, I can give my teachers very high salaries, I can give them high growth trajectories. So, India's one of the best talent in terms of teaching talent I will be able to attract, because I am the largest education company at this point of time as well. So, if you get a ~ 10x better teacher than your local teacher, at a ~ 10% price, and that

too in your mobile phone. So, that makes a great value proposition to have it with you. A lot of kids use it like primary learning. Those who can't afford it, those who can't go offline. Those who want convenience, those who have enough discipline online. Some kids also use it like secondary learning. Even if they are going to an offline learning center, they still take our course. That's where the magic happens. When a student is going to an offline learning center with another brand or a local brand, and he takes our course, and he feels that he is teaching very well at a one-tenth price.

And by teaching them, my marks are improving. Then that translates into great word of mouth. And a good education business is one that has a good word of mouth. You teach the kids well, they have a lot of friends, they will go and tell them, and you will grow on your own. Did I answer your question? Swapnil Potdukhe: Got it. Yes, yes. So, just a slight question regarding that. What will be the average tenure of a teacher staying with you? I mean, is the retention very, very high? Given that you said you rate them, and you engage them, that helps you better align it with your interest? Prateek Boob: So, sir, to answer this question, we have actually taken in our shareholder letter, question number 16. You can go through that. So, basically, we have bifurcated the retention numbers to see what is the retention of our lecture faculties and what is the retention of our overall faculties. So, in faculties, there are lecture faculties who teach the students. Their retention number is 15% to 17%, which is the industry standard. Sorry, I'm doing attrition. Retention is 15% to 17% of our lecture faculties. But since we are an online company, we have content creators, doubt solvers, subject matter experts, online doubt solving. We have a very large workforce. We have support teachers. So, generally, support teachers have attrition because they are very entry-level or first job for a lot of talent. But ~ 15% to ~ 17% of attrition in a lecture faculty is somewhat industry standard. In online, this number is further less. Now, there are two primary reasons for teacher attrition. One is that the average rating of the teacher's performance is not coming. And that is a North Star metric for us. We don't compromise with that because the student's life year is very precious. So, if those teacher ratings don't improve, we have to let go our teachers. And in that, we have dedicated SOPs. First, get your teacher to work, get him to improve, give him a 3-to-6-month chance. But if that number doesn't improve, then we have to take a call. Second, because of AI, there is a lot of efficiency kicking in in content experts and doubt solvers. Because of this, this number is slightly ~ 15% to ~ 25% compared to last year. In this year, it has increased by ~ 27%. But macro is not changing. It is driving higher student engagement only and it is driving higher bottom line as well. Swapnil Potdukhe: Got it! Got it! Thanx a lot for taking your time and answer my question. All the best! Moderator: We take the next question from the line of Abhishek Banerjee from ICICI Securities. Please go ahead. Abhishek Banerjee: Hi. Thanks for the opportunity. Just a couple of questions from my side. First, would you have any sense of the average annual incomes of the parents of the students who enroll with you, especially in offline? Prateek Boob: So, we are a Bharat story. We are a complete Bharat story. If you look at our online audience, our internal surveys say that ~ 67% of the students are studying only from us. This is the market we have created. This market was unorganized. These students were just filling the exam forms.

They did not have access to good quality teaching. We are the creators of this market. We are doing market expansion theory in this m

arket. In offline, some of our Vidyapeeth’s ARPUs and the overall ARPUs that close -- upward of ~ INR40,000 per annum. Entire offline put together. We have not done an exact economic profile, but we are currently working on a population scale. Generally, the economic background of offline parents is better than online. At the same time, if you look at India, in India, per household spent on education is around ~ INR4,000 to ~ INR5,000. With our GDP growth, this number is increasing because education is a non-discretionary expense. Every new rupee coming to the family, the first ride goes into the kids' education. So that makes us a very unique company. Middle class India wants to invest more in education while lower middle-class India wants to invest more in education. Abhishek Banerjee: Understood, understood. So, just from a time perspective, right, what would you think is the current, you know, is your current penetration in offline and where can it go to? Prateek Boob: We have explained the question of TAM very beautifully in detail in our letter. In our early exam categories, which we started in 2020, which we have been running for 5 years, we have taken a ~ 20% market share. This market share is quite strong in Hindi heartland. In Hindi heartland, it is at ~ 30%-40%. But in Central and Southern India, it is less than ~10% and less than ~5%, respectively. So there is a headroom to expand our JEE categories by 100% in upcoming years. But at the same time, our early exam categories, civil services, government exams, CBSE boards, ICSE, GATE, state boards, exam categories, here our market share is less than ~ 1% at this point of time. Overall, if we look at TAM, then our market share is less than ~ 2%. So we are just barely scratching the surface. If we look at offline penetration, then in this industry, we are the number 5th player at this point of time. There are four more players above us. But I am the fastest growing offline brand in the country at this point of time. So in offline, I am at number 5th. The top 4 players, putting them together, they make a revenue of approximately ~2 billion. My market share in terms of revenue is ~7%-8% at this point of time, but I am growing very fast. The market is fragmented and there is an opportunity for consolidation. But at the same time, like as I told you before, buy vs build, we prefer to build from scratch. My offline is very unique which is linked to online. ~80% of the admissions happens from my online learner base only. Abhishek Banerjee: Understood, understood. But my question is I also wanted to -- basically I also wanted to understand, what are your thoughts on getting into the jobs, exams categories? Say things like GAIL exam, SAIL exam, Railway exams, etc. So do you see that as a category where you would like to expand into the future? And if so, what is the additional time that you can get from that?

Prateek Boob: So government, state exams, we have already ventured. And we are seeing a good traction. We have also started its offline learning centers. And for example, if the opening of the railway comes out, then we apply up to ~90 lakh students in group B. When the opening of UP constable comes out, then we apply up to ~ 20 lakh-30 lakh students. So here we have already ventured. And here we are seeing good growth trajectories both in offline and online. Overall revenues are increasing at a good, very healthy rate. So we have started preparing for government jobs. Whether it is an exam like UPSC, in which your IAS job is applied versus your exam like constable, patwari. So, we have already ventured this. Skilling courses, private jobs are still in the initial stages and in the journey of 0 to 1. There we are strengthening that 0 to 1 and our product market fit. But GAIL exam, SAIL exam, since you have mentioned, we are covering it through the preparation of the GATE exam. So we have put a foot in the doo

r there. The product market fit has come. And now it will go into the group stage. Abhishek Banerjee: Understood, understood. And how come... Moderator: Abhishek, I would request you to please join back the queue for follow-up questions. Abhishek Banerjee: Yes, sure. Thanks. Moderator: Thank you. We take the next question from the line of Dhvanit Shah from PL Capital. Please go ahead. Dhvanit Shah: Hello. Am I audible? Moderator: Yes, Dhvanit. Please go ahead. Dhvanit Shah: Hi, sir. Congratulations on a good set of numbers. Sir, I wanted to ask that your advertisement and publicity expense, I think, is close to around ~ 40%. So what could be the reason? And... Prateek Boob: Very good observation, sir. Dhvanit Shah: How much do we spend on Vishwas Divas? I mean, overall, like a ballpark figure. Prateek Boob: Vishwas Divas is an event. There is no marketing spend there. It is just the expense of conducting the event. So, basically this year we have changed the marketing cycle. So earlier we used to spend uniformly in every quarter. And we were not getting the return of advertisement revenue. So we said that in our growth months, where we have maximum enrollment, we should keep more concentration of our expense there. So, in quarter 1 and quarter 2, the number you are seeing, that is coming around, the number in the whole H1 is coming around ~10%. But by the end of the year, when you see this number, our overall marketing spend, that is going to be ~ 8%-9% this year, which was ~ 9.6% last year. So in the whole year, this goodness you will give us. This was the only reason that due to this, the relative profitability of H1 is little less as compared to last year. Because we have shifted

this cycle of marketing spend. And in H1, we have spent relatively a little more. In quarter 1, this number was ~14%. In quarter 2, this number came ~8%. Overall in H1, it is around ~10%. In the whole year, this number is going to be ~8%-9%. And we are a very organic company. We have never spent a double-digit percentage of marketing historically. And we are not going to do this in the years to come. So we believe in creating communities. We believe in free education. And from there, the child comes to us on the mobile app and buys our paid courses. So we are a word-of-mouth company. Dhvanit Shah: Okay, okay. But usually, before admission, we will do marketing spend, right? Or after the results come? This will happen at the same time, right, sir? Prateek Boob: Yes. Admissions and results both happen at the same time. So, in quarter 1 and quarter 2, the marketing spend will be more concentrated. In quarter 3 and quarter 4, because admissions are done, classes are going on, there is not much return of marketing spend. So we understood this a little late. So, we have treated the marketing spend cycle a little bit from this year. And this is going to remain in quarter 1 and quarter 2. Dhvanit Shah: Okay. Okay, sir. Sir, and the attrition rate, which has jumped from 25% to 27%, so that 2% you are saying, is it regarding support staff or any new education? I mean, in any new education category, we are seeing any hiccup sort of a thing? Prateek Boob: No, no, sir. We have not shut down any category yet. And education is a compounding story. Within 2-3 years, if someone is performing in a category, then it starts performing. Because if that playbook has gone in JEE, NEET, then it will go in other places too. And we have also proved this thing. So for this 25% to 27%, in this, AI is one of the reasons. A little doubt faculty, support staff, because of AI, we do not need subject matter experts. So the actual attrition that was happening, we did not backfill that. As well as, if you see, the attrition of the lecture faculty is between 15% to 17%, which is the right number in the comparison of industry standard. And the attrition there is 15% to 17% of the lecture faculty, that is due to their acad

emic performance and their ratings. Dhvanit Shah: Okay, sir, okay. Wish you all the best, sir. Thank you so much. Prateek Boob: Thank you, sir. Thank you. Moderator: Thank you. We take the next question from the line of Akshen Thakkar from Fidelity Worldwide Investment. Please go ahead. Akshen Thakkar: Hi, sir. First of all, congratulations for the quarter from me. I had a question, sir. In offline centers, your physical centers have grown a lot. Almost ~70% growth. But their goodness has not been translated into revenue yet. So, if I look at H1 revenue, if I look at this quarter, we have only grown by ~25%. So in offline business, in full year, if you can explain how to understand

growth, because there will be some connection between center growth and revenue from offline centers. So, will it come later or next year? Thank you. Alakh Pandey: Hi, Akshen. Thank you so much. Alakh here. First of all, this is not the right way to look at it because in H1, there is a collection. There is a revenue accrual. So, you see that goodness in H2 throughout the year. You won't see that in H1 because we take the fees in the beginning of the year. So, we keep accruing it, first thing. The second thing you will see is the ARPU mix has changed a lot in offline. If you look at the enrollment, you will see that it has grown by approximately ~30%. The ARPU mix has changed because we are not only doing JEE, NEET, we are doing other exams as well. We are expanding it gradually. Earlier, we used to do only JEE, NEET. So, initially, 100% JEE-NEET was offline. Now, if you look at offline as well, ~66% JEE, NEET is left. Now, we do other exams, like government exams, UPSC exams. So, in many such exams, there are short courses. 3-month, 6-month, one-day exams, like bank exams, SSC exams, nursing exams. So, there are 3-4-month courses. So, what happens to ARPU there, fees are also less. So, coming to your point, how will we see its profitability? I can see it like this. My early category, which is our IIT NEET category, which we do offline, we call it Vidyapeeth. So, it has become profitable at the category margin level this year. The rest of the categories are too young. We have just started recently. So, you can typically understand that our JEE NEET offline centers are. We take 18 months to become profitable. And it takes nearly 24 to 36 months. You take 24 to 30 months for the return of capital. Other categories also take, like 12 months to become profitable. Now, if we see, the profitability in our offline has come to the category margin level. At EBITDA and PAT levels, I think FY '27 will be EBITDA level profitable in our complete offline. And FY '28 will go to PAT or something. FY '27, we can see the year that our offline will be profitable at EBITDA level. Akshen Thakkar: Okay. And top line in terms of profitability, I understood that there will be advances and will come. But since the top line is ~25%, in your opinion, in your waist I would have thought that offline will grow a little more. So, will this pickup in growth be in the second half, according to you or will it grow at ~25%-30% in offline users? Alakh Pandey: No, it will grow at ~25%-30%. That is what we have been assuming since last one year. And this is something that is strategic and that we know. The growth of our online will outpass -- surpass the growth of offline. Because what happened in offline is that the brand was very strong in the last 3 years. So, we had Hindi heartland where we had our brand presence, we had centers starting 3 years where he had centers opened. And that was a conscious call. We didn't want any competitor to take our place. So, we had already opened those centers where you will see the growth of offline at ~50%-40% tag. Now, the growth of offline will be sustainable, and that will be ~25%-30%. Akshen Thakkar: Okay. Alright, sir. Thank you and all the best for the rest of the year.

Moderator: Thank you, Akshen. Thank you. Moderator: Thank you! We take the next question from the line of Lokesh from SK Investments. Please go ahead. Lokesh: Hello, sir. Good morning. So, sir, I looked at the numbers and the other income part there was a sudden spike in the H1 numbers. So, if you could elaborate on that. Alakh Pandey: Sir, which particular other income we are talking about? Okay, that is the other income you are asking. Our revenue is split. Okay. So, sir, as our brand got stronger, we started tying up with schools and institutions for their academic books. So, we have an in-house vertical around content where we run it as PW Academy. And we supply books, so close to, I think, 3000 schools we give books to the children. So, it goes there. If you look at the revenue split, I think close to 49% is right now online, and 47% will be offline, 4% is others. So, there is a slight spike in the number of books going to the schools. Lokesh: Okay. And, sir, regarding offline, I had a question. Your growth rate on offline has been quite consistent. But the prices there are quite low compared to other players. So, how do you see how it will become profitable while the other costs, for example, cost of leasing and cost of running a center is almost similar for everybody. So, how do you think you would make it profitable? Alakh Pandey: I mean, that's a good point. Actually, the first point is that we have to design our cost box. So, we are rightly placed in offline as well. The very premium players they up charge ~40% up from us. That gives us the lever that we can reach that price point at one point of time. After this, the remaining 2nd, 3rd players come to us which is around this price. We are not very low priced. In IT-NEET, our ARPU comes out close to ~60,000-62,000 for IIT-NEET, which is not very low. So, if you leave the very top players, 1 or 2 players, then our ARPU is a good ARPU. It's not that we charge very less. We never say that we are affordable in offline. We don't go with the affordability story in offline. In offline, we go with the experience story and the result story. And at this ARPU of IIT-NEET is 60,000, our picture becomes fair. We can see the split of that that ~35% which is the teacher cost, teacher cost should be less than ~35%. The rental should be less than ~12%-14%. The student-teacher ratio is much better than other brands. The student-teacher ratio is how many students a teacher can teach. So, in our first year, the student-teacher ratio goes to ~68-69, then the next year it goes to ~75, then it goes to ~82, then it goes to ~90s. So, the student-teacher ratio is the one thing around which we can play. Other than this, the shifts, that is the seat multiplier. We play around that seat multiplier. All the offlines that were there till now, no one has designed the box model so perfectly like PW, because no one had centralized control. So, the seat utilization i.e. how many times we can utilize a single seat, if we see that, we have brought that multiplier up to ~ 2.1. We were standing at ~1.9 last year, which we reported. It must be around ~2.1 now. So, this will go to ~2.5. At 2.5, our center is around ~15% profitability.

Along with this, our biggest offline cost, this is very interesting, offline, the major cost of any education business is teachers. So, our offline teachers used to hire the industry, and their salaries used to increase in April and May. They used to say “hi” and you had to give them a pop when we closed that trend. We designed our teachers according to our ARPU. So, we designed a unique program called Faculty Training Program, where we call all the teachers from all over India, through social media. They come to our centers. For a single form floated for a vacancy of ~300 people, we get ~ 40,000 odd people applying. They come to our centers, give tests, then we tr

ain them, then we make them doubt teachers, then we make them content teachers and within 6-7 months we send them to teach. These teachers enter at a very low salary compared to the industry salary, because they are young, they are fresher’s, and we call these teachers Faculty Training, FTP we call them, teachers from Faculty Training Program. These are the teachers whose salaries are less than ~1,000,000. So, the FTP mix in overall faculty, earlier it used to be ~10%, next year we increased it to ~18%, now it is around 27%, so this will go to next year ~35%. So, even with this FTP mix, our overall cost is managed, and the students are very happy with these young teachers, fresher teachers, because most of the students are very weak, so they need a lot of primary hand holding, which the fresher teachers and young teachers understand better. Lokesh: Sir, one final question, you have a clear winner in online, you have a pedagogy set and you are growing at a very fast pace, but in offline you said that there are tech-enabled classrooms, so what are you doing different? What are the winners there? Alakh Pandey: Yes, I'll very rightly place. Online, the mote that is our most important cost content, teachers, pricing, technology. In offline, the first thing is the brand that I feel. The brand we have, so right now, if you see, a lot of parents know other brands because we are very new, but if I next 3 years, the parents will not any other education brand than PW, because we are expanding like anything, we are reaching to every household. Today a 7th class kid buys my online course, so they don't know XYZ other brand, so when he reaches 9th, 10th or grade 11th, the first education brand that they know is Physics

Wallah, so first of all I have the strongest funnel that no one has. In grade 6th, 7th, 8th, we don't do segment reporting but what I remember we teach close to ~1.5 lakh paid students in grade 6th, 7th, 8th. Where no other brand is present. So first of all, I get the advantage of the funnel and that is why the child comes to me first. Second, if I see what I am doing different from others, then I think content standardization through this smart boards and technology that I do. If you see any other offline, so they cannot do standardization in each of their classrooms, because the management team or central team has no control over what the teacher is teaching in a particular classroom? Sitting here, I can see in Mumbai, and see in the morning class what subject at my teacher is teaching. Which topic is being taught? Which questions she is asking? I can decide that and check it. So our PPT's are connected with all the smart boards are in the same flow from for every cohort, every class and the teacher teaches.

After that, our teacher gives the lectures to the students in classroom and after every student after every class has to the rate which is online. So I have very clear visibility of how many teachers are below the ~4.5 rating, how many teachers are the 4 rating, whom I have to replace or improve. In our classroom, when the teacher gives homework, if you see in other offline coaching, your child gets homework, he comes home and solves it and sit in the class next day. The teacher does know which student has done the homework or not, because there are ~770 children. We have to attempt the homework digitally. So, the four teachers, six teachers, can see the whole dashboard of that classroom digitally, how many students have done right or wrong questions or left out. So they have a clear idea of the cohort how they performed. Accordingly they will proceed with their next class. Apart from we do data analysis of each student, how many questions they attempted? How many were correct? How much time they took? Which topics are weak and strong? All of these digital footprints that I have, others offline do not have that. If a student goes home after offline center, he

cannot ask doubts. When a child from here goes home, he ~7-8 hours, he can still stay connected with our platform and ask their doubt continuously. I think the strong brand funnel gives the student in the very beginning, but after that, strong control over the content and the quality, that keeps the engagement. Lokesh: Okay, makes sense. Thank you, sir and best of luck for the next quarter. Moderator: Thank you. Ladies and gentlemen, we take that as the last question and conclude the question-and-answer session. I now hand the conference over to the management for their closing comments. Amit Sachdeva: Thank you so much everybody for joining the first Physicswallah Investor and Analyst Call. We look forward to seeing you again next call. Thank you so much. Moderator: Thank you. On behalf of Physicswallah Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

Physicswallah Limited (Formerly known as ‘Physicswallah Private Limited’)
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PHYSICSWALLAH
LIMITED

Date: February 12, 2026

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Scrip Code: 544609
Symbol: PWL

Sub: Intimation under Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript of Earnings Conference Call held on February 06, 2026.

Dear Sir/Madam,

This is in continuation to our earlier letter dated February 06, 2025, regarding audio recording of the Earnings Conference Call held on February 06, 2026, at 04:00 P.M. (IST) on the performance of Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and nine months ended December 31, 2025.

Please find attached herewith the transcript of the above Earnings Conference Call.

The above disclosure is also being uploaded on the website of the Company at https://www.pw.live/investor-relations

You are requested to take the above on record.

Thank you.

Yours sincerely,
For Physicswallah Limited

Ajinkya Jain
Group General Counsel, Company Secretary & Compliance Officer
Membership No.: A33261

 “Physicswallah Limited Q3 FY ‘26 Earnings Conference Call” February 06, 2026
MANAGEMENT: MR. PRATEEK BOOB – WHOLE TIME DIRECTOR – PHYSICSWALLAH LIMITED MR. AMIT SACHDEVA – CHIEF FINANCIAL OFFICER – PHYSICSWALLAH LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Physicswallah Limited Q3 FY ‘26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. Joining us today to discuss earnings for the third quarter and nine months ended 31st December 2025 are Mr. Prateek Boob, Whole-Time Director and Mr. Amit Sachdeva, CFO. The results and shareholder letters that have been uploaded to the stock exchanges are available on the company's Investor Relations website. Before we begin, I would like to remind you that certain statements made on this call may be forward-looking in nature and should be viewed in conjunction with the risk factors disclosed in the company's filing. I now hand the conference over to Mr. Prateek Boob from Physicswallah Limited. Thank you and over to you Mr.

Prateek. Prateek Boob: Hello everyone, Prateek Boob this side. A very warm welcome to all participants here. I would like to brief, I would like to brief journey introduction about Physicswallah. A lot of attendees on these calls might be new. Physicswallah started as a YouTube channel back in 2016 by Alakh Sir . And until 2020 it became India's largest YouTube channel and that's where our monetization journey started. So company formation happened in 2020 and with a very unique business model where we are teaching everything for free on internet across now 250 YouTube channels. So that gives us a very strong social media presence and this gives us a very strong top of the funnel. The model is very unique in nature where we teach for free on internet and we launch our scheduled paid live classes i.e. batches on our mobile application for various exam categories. Currently covering 40+ exam categories right from JEE entrance exam, NEET entrance exams, to UPSC level. The model is quite unique in nature where we call it as a zero CAC model. Essentially, we teach for free on internet and that's how we get traffic on our mobile application. Currently having 3.4 million daily active users on our mobile app and getting engaged for 106 minutes on a daily average basis. So this is a quick brief journey introduction. Back in 2022 we started our offline learning centers as well. Currently operating more than 300 offline learning centers. Our offline model also quite unique in its nature. It's tech-enabled offline learning centers which we have expanded. This is essentially to cater a certain section of the students who are distracted in online mode of learning and their learning outcomes are better in offline mode of learning. Our offline is the part of our online flywheel where 93% of the audience are studying in online mode of learning. 7% of our total learner base comes in our offline mode of learning. So

wherever we became number one in terms of number of students, we start our offline learning centers as well. So this is a brief journey and a model explanation. Along with that we have created a great innovative culture in the company. You know if you ever get a chance to come to Noida would love to host you. There are a lot of entrepreneur energy on the floor and a lot of innovation which is happening at this point of time. Company stands for a vision that we want to make education affordable for every Indian household. Highest quality education should either be free or it should be affordable. That is the vision which we are carrying. And along with that we want to become a lifelong learning partner of the students. This is something a motto which all of us are living here and thank you so much for your continued support and showing

trust on us. Together we are creating a great impact. The students who had never access to good quality structured learning are now able to crack JEE, NEET, UPSC and several other, kind of world's largest and toughest examination and we are empowering a India which was underserved and now it is creating the equal access and opportunity to students out there. Thank you so much. Handing over to Amit. Amit Sachdeva: Thank you, Prateek sir. Good evening, everyone. Thank you all for taking the time out to join the Q3 earnings call for Physicswallah. We are overall very happy with our strong Q3 quarter results and believe that the education opportunity in India remains significant. I'll take you know few minutes just emphasizing the results that we have published. Overall revenue growth remained robust in Q3 FY‘26 with total revenue from operations reaching to INR1,082 crores, a 34% revenue increase year-over-year. Pre-Ind AS EBITDA of INR219 crores translating to 20.2% margin. A PAT of INR102 crores equivalent of 9% and this is in spite of the INR23 crores of one-time expense that we booked in this quarter related to you know the changes in the Labor Code and IPO expenses which we just concluded in on 18th of November. In terms of the overall performance for nine months we are happy to you know report that the growth came really strong in the overall nine months performance as well. Revenue was clocked at INR2,980 crores, a 31% year-over-year increase and surpassed the full year revenue of last year of INR2,886 crores. Pre-Ind AS EBITDA was closed at INR291 crores against INR233 crores for last year and you know for the full year, in terms of full year nine months we closed at a PAT of INR45 crores even in spite of the one-time adjustments of INR 23 crores for the nine months. In terms of our breakup of our online and offline segment, our online segment grew at, now contributes almost like 51% and grew at 38% year-over-year. Offline grew 26% year-over-year and contributes at 46% and others contribute 3%. Like we mentioned in the last earnings call as well, our playbook is to build communities and continue to increase our share of overall online revenues, that is the focus you know for us going

forward and I'll talk about some of the new categories that we are building in the online segment that will help us get to a higher share in the online segment. In terms of the overall cost initiatives, the direct cost gave us a leverage of almost like 2.8% year-over-year obviously due to all the cost reduction initiatives that we ran, especially around the consultants and the professional fees. Our employee cost were higher including the ESOP expenses. So our ESOP expenses now are at INR125 crores for nine months against the 73 for last year. Largely due to the valuation impact on the new ESOPs that we issue. And secondly, in terms of the new categories that we are now starting to invest which I will talk about in detail you know in the latter half of the call. Also, like we mentioned last quarter I think our marketing spends, the pattern of marketing spends was changed where we took a very conscious call of spending higher in the initial quarters rather than spreading it across over the year which was the case in the last financial year. And hence we see significant leverage of those marketing spends to come both in this quarter and the next quarter. Our marketing spends dropped by almost like INR20 crores in this quarter and we expect a significant synergies coming in from the Q4 of last year to Q4 of this year. Moving on in terms of our treasury, our treasury now stands at INR5,000 crores post our IPO of INR3,100 crores which was the fresh issue that we did. We generated almost INR600 crores from cash flow from operations in the first nine months. In terms of our capital allocation like we have put in in the shareholder letter. We'll be allocating cash and capital on

four key areas. The first is the offline expansion like we've put it in the use of proceeds on the RHP. We will continue to invest in opening centers. We are looking at 70 centers next year with an outlay of INR200 crores. Inorganic opportunities. As and when the inorganic opportunities arise we will continue to invest into that. There is a certain amount that we've anyways we've raised as GCP and M&A, unannounced M&A as part of our IPO proceeds and as and when such opportunity arise, we're going to look at it. Third is focused investments in K-12 platform. As you would have seen you know we actually acquired Tender Heart and we are now partnering with Tender Heart and we find ourselves in a very leading position to create a quality

K-12 platform. We'll again talk about this in detail. Some of these opportunities will keep on arising and we will allocate capital as part of the next year planning exercise. As of now we've invested INR400 crores in our wholly owned company to drive some of that K-12 platform investments that we will do. And the last one is AI. I think this is an ongoing investment, both in terms of people as well as the new products that we'll be developing on. We'll talk about PW Talks, we'll talk about Ask AI and some of the other AI initiatives that we have listed in the shareholder letter as well and we see a significant leverage coming in from this one as well.

Like I earlier said there's a renewed focus on schools and K-12 platform. Our existing K-12 platform currently supports three schools and this is outside the SIP that we run, under the Vidyapeeth program which now almost touches 10,000 kids out there. So in addition to that and the overall I think our idea coming in from the K-12 platform will be to teach at least 10,000 to 11,000 kids from a K-12 platform perspective. The central teams are now within PW starting to work, standardize and streamline operations including academics and all other synergies associated with the respective K-12 platform. Moving on to the performance of our acquisitions, we are extremely bullish about our Sarrthi partnership and acquisition that we did last quarter in UPSC practice. On like-to-like basis Sarrthi doubled its revenue for nine months for this year as compared to last year. This quarter Sarrthi reported revenues of INR22 crores and EBITDA of INR15 crores, this is what we consolidated in our books and we can now surely say that our overall UPSC practice is now the market leader in terms of the overall, all our competition as well. Utkarsh Classes had a great year in reimagining the entire state exams business, they reported 6% pre-Ind AS EBITDA against a negative for last year and we will see significant amount of cost leverage continue to come in that business. Also in Xylem our test prep business in Kerala that has been growing this year they will close the year at roughly around INR330 to INR340 crores of revenue top line. When we bought the acquisition, I think they were INR90 crores in top line. We opened 13 new centers in Xylem supplementing our vernacular reach in southern states and we see that helping us to build our vision of a formidable player in the southern part of India as well. Like I said on the AI initiative I think it's been mentioned in question 10 of the shareholder’s letter in a very detailed and succulent way. We find ourselves significantly ahead of the AI initiatives at PW. Most of us would have seen the recent announcement about Gemini entering into mock testing and that actually validates our investments that we did in Aryabhata, we had done a detailed press release around Aryabhata as well. And we now you know consciously are investing in AI tech talent. Our overall tech spends because of the scale that we have grown last year, we see almost like a percentage leverage on the tech spends in spite of our AI pod cost of the tech and product team going up by 4

0% from last year. There are three additional categories now this time we have reported. So we used to report 13 categories but now we had three new categories that crossed the annual collections of INR10 crores, that is CLAT, NEET PG and IIT JAM. These three categories put together this year for the first nine months have contributed INR32 crores and we will continue to invest in these new categories to actually, to get them to the goodness that we've seen in our earlier categories. The second category that we wanted to talk about today are state boards. There are almost like 6 crores kids studying in state boards exams across India and this vertical was launched in June ‘25 and we've scaled to 175,000 paid learners with a revenue of INR22 crores for the first nine months. I think we've talked about this in the last earnings call as well.

And what we feel is this is going to be the category that will actually give us the goodness of you know the JEE, NEET scale mass scale that we've seen in those categories the early categories. While we've started with five or six states you will see a roadmap of the next states that we are going into as part of the shareholder letter. The third key category online expansion that we are seeing is on the vernacular side. We've started batches in five regional languages and enrolled 94,000 paid students in the first nine months with a revenue of INR24 crores. Again we will replicate the same PW playbook which we have grown our community to almost like 2.2 million subscribers across 30 regional YouTube channels. So that's the overall our financial and business overview. We can now open the forum for any questions that we can take. Moderator: Thank you. We will now begin the question and answer session. Any one who wishes to ask the question may press star and One on your touchphone telephone. If you wish the remove yourself from question queue give at star and two. Participants are requested to use their handest for last minute questions. Ladies and Gentlemen we’ll wait for the moment while the question queue assembles. The first question comes from the line of Manish Adukia with Goldman Sachs. Please go ahead. Mr. Adukia, please go ahead with your question. Manish Adukia: Hi, good afternoon. Thank you for taking my questions. My first question is on that K-12 foray that you discussed extensively in the opening remarks. Few questions, one if we were to take a slightly longer term view maybe three to five years, how should we think about the potential for how much this could add to your revenues or revenue growth? How should we think about the margin profile of the business and is there like an upper limit in terms of how much capital you may allocate to this business beyond what you already talked about? And maybe a related question to that also is what drove this decision of course K-12 is a large segment but we've historically talked about the large headroom for growth in your core exam categories that you operate in whether it's in online or offline which is also early stage. Given there is like a lot of headroom in your test prep, online and offline why the need to foray into let's say K-12 school segment just yet? Your thoughts there would be helpful. Thank you. Prateek Boob: Yes, Manish. I'll take it up. So, thank you for bringing this question. Amit had briefly talked about it in his starting address. See, if you see test prep as a market, the TAM is of 6 crores children at this point of time which is growing at a 13%-15% CAGR. But this K-12 market is like four times bigger than the test prep as a market, so it's a much bigger market. And if we benchmark any mature economy, China is a perfect example because the demographics there are similar to India. If India has JEE-NEET, then they have Gaon-Gaon. So there, 15 years ago, the test prep market used to be bigger. But currently K-12 is a bigger market there. Now with

in the K-12 market, in China, both online and offline are in play. We also started seeding to address the K-12 market

18 months ago, almost 18 to 24 months ago. The online playbook that is addressing our K-12 market is the Curious Junior product. I think there will be many people in this audience who have young children from grade 3 to 10, so Curious Junior is a product you guys should use. It's an alternative to tuitions. It's an online tuition platform which enhances your outcomes in school and exams. So the Curious Junior product is growing at a very rapid rate. We achieved almost 100% improvement in terms of EBITDA and enrolment, and we will continue to grow at the same rate in the coming time. So that makes us the largest online tuition player as well with the brand name of Curious Junior. Similarly, the other opportunity we saw, was running a K-12 schools management company. So our first initiative was two years ago when we started Gurukulam in Gurgaon and Varanasi. So currently our school management company operates three schools; one is out Indore, another in Gurgaon, and the third in Varanasi. So school is a bottomless market, it's a large opportunity for us and we have seen this opportunity. From a parent side, there is a great affinity because they want to get enrolled in a test prep national brand-centric school. Until now, this opportunity has not been very organized; it's a very large market opportunity and we already have a success story in Varanasi where we have turned around a brownfield school into a school full of 1,200 kids at this point of time in just 18 months of time. And this playbook is getting mature and mature and this aligns with our overall mission to become a lifelong learning partner of the students. As well as, if we talk about test prep, we are already teaching everyone from grade 3 to 12 to UPSC. To run any good online or offline education business you have to take care of teacher ratings, learning outcomes, student attendance, and repeat rates. So the basic principles remain the same. And within the K-12 schools where we have opened three schools, we are starting 8 more schools: 4 brownfield and 4 greenfield. As well as we have done a Tender Heart, Ranchi partnership where we have taken the management control of the school. So this is, in the overall scheme of things, not even contributing half a percent of revenue at this point of time but in the long run it will contribute a good amount of EBITDA. And that strength, and in the schools, we are starting, we are doing a fair amount of test prep integration so that students' JEE and NEET preparation happens during their formative years. By the time we enrol our students in grade 11th, the damage is already done. Their basics are so weak that it is a bit difficult to get outcomes from them. And if we look at it, the need for overall specialized preparation for medical and engineering entrances is only arising because our schooling system hasn't lived up to the expectation of these exams. So the entire coaching is an outcome of bad schooling in the country, we want to fix it at the root, so that is why we have taken some baby steps in this direction. So this is, and in the long

term, within three to five years, this will become a significant EBITDA, a noticeable significant EBITDA by FY ‘29-‘30 in upcoming years, is what I can say to you. Amit Sachdeva: Prateek, just to add, in terms of the capital allocation we you know we allocated INR400 crores in our school management company probably couple of months back. So that is the you know allocated capital right now for building the K-12 platform. I think what has significantly turned around for us like Prateek mentioned two things first the nuances around the school management which we've been able to work with the Varanasi school has given us some level of how the ent

ire economics of school management should run like that has given us a little confidence. And secondly, I think what Tender Heart partnership has done is that lot of good K-12 platforms have started reaching out to us and they want to work with Physicswallah just in terms of the pedagogy that we bring on the table. So right now that is the allocation. But once we go through the planning cycle for next year that is one when that is when we will probably take a refreshed view of where we are right now and the ambition like Prateek mentioned where we want to be in ‘29-‘30 because this is going to be a long-term story for the next you know at least few at least four-five years where we start building this thing. Prateek Boob: So we have both the models here, Prateek here, that we have an asset-light model with the name of School Integrated Program, where we have partnership with 50 such schools will teach almost 25,000 -- will generate almost INR25 crores of top line through that model also. Along with that we have a complete management control over Tender Heart and as well as some greenfield and brownfield K-12 schools coming up. And as I mentioned, K-12 is going to be a larger business than a test prep business down the line five years, is what I imagine. And if you benchmark any company in China, be it New Oriental, EDU, all are listed, their K-12 business is larger than their test prep business and we also think the same will happen with Physicswallah down the line five years. Manish Adukia: Very helpful. My second question would be maybe a related question. You explained the opportunity in K-12 and when we think about let's say few buckets of education which is test prep where you have been now, you're entering K-12 and you have your own IOI as well which is of course small right now but would you also then consider entering formal education in undergrad and postgrad as well or that's something which is not a part of the plan over the next three-five years? Prateek Boob: See, so, see formal education if you see 70% of the students which we are teaching at this point of time are 12th plus students which have already passed grade 12. So if you see do I have the best faculty in India who's teaching computer science? Yes, we do have. Do I have the best faculty in terms of civil engineering, in terms of mechanical engineering, in terms of from a GATE category, perspective I am already number one player in terms of all engineering streams producing almost back-to-back rank one in past two years consecutively. If you say do I have the best faculty of UPSC humanities all 19 subjects? Yes, I do have. See UPSC as a business also have grown more than 100% in past -- in first nine months. So and everyone in the three IAS and three IPS is been produced by us at this point of time. In formal

education we are not providing degrees, but still we are teaching a significant number of students in all these categories like GATE, UPSC, CAT, CA. Within formal education, the right way of entering is to start at 100% online digital university. What gap we feel there is that the student takes college exams separately and does test prep preparation separately. So when these two things are merged, there will be a lot of value addition in students' lives. For this, we have launched courses in partnership with many existing Indian Institutes of Technology, Indian Institutes of Management under the brand name of

Medharthi, as well as we are trying to set up India's first digital university, we are in talks with various authorities and we are finding a way to create value for the students there as well. Manish Adukia: Very clear. Just last question on -- and thank you for the detailed disclosure around student breakup etc. I noticed that your NEET and JEE, student growth or enrolment growth has now maybe slowed down to around low single digit, of course other categories continue to do re

ally really well. Is that something that maybe we should extrapolate to other categories as well that you know as you enter categories you see some very strong growth for the first three-four years but over time these categories saturate and then they start growing lower? So I'm just trying to think that of course you've talked about boards as a large opportunity but when I think about let's say the interplay of these categories where I'm guessing JEE, NEET are very profitable for you but the other ones currently early stages. So how should I think about you know just the growth dynamics of these various categories and the interplay of that to profitability. Prateek Boob: Yes, so JEE, NEET we have seen a great traction in terms of the southern part of the country, their YouTube channels and enrolments are picking up very fast. But since the denominator is very high in terms of number of students in North India and penetration is very high so that's why the overall growth is only 3%-4%. But if you see there is a good amount of shift of the students from JEE, NEET to board exam as well. You know earlier we never had a offerings like state boards as a exams as well as CBSE grade 11th and 12th. If you see the cohort of grade 11th and 12th, put together still you will see a double digit growth, a higher double digit teen growth for sure. The UPSC as a category is growing at 100% revenue run rate for first nine months, the similar trends we have seen in Commerce as a category, CA as a category. So the Hindi heartland, the North India where we can see that like, we have a decent amount of penetration but the entire southern part of the country is the headroom left for our early exam categories JEE and NEET and all our newer exam categories are any which ways growing at a double digit growth rate. Manish Adukia: Very helpful. Thank you so much for taking my questions. All the best.

Prateek Boob: Thank you. Moderator: Thank you. Next question comes from the line of Gaurav Malhotra with Axis. Please go ahead. Gaurav Malhotra: Hi!, Thanks for the opportunity. Just had a couple of questions and some follow up on this strategy for K-12. See, in this only, wanted to get an understanding, what is the right to win here, right? Because in online offline we had this top of the funnel and that is sort of helping us gain a disproportionate advantage in the online space and to some extent in offline, but this is like a completely different kind of a business, right? So just wanted to get some sense on our right to win over here? Prateek Boob: So I'll quickly answer this question. So we have students enrolled in our Vidyapeeth which is brick-and-mortar physical setup technology enabled right from gate grade 8th onwards so grade 8th, 9th, 10th, 11th, 12th are already been covered in existing Vidyapeeth setup. And if you see the journey of the student, they have to go to schools in the morning and coaching in the evening, so that is double workload. If you talk to any parent, they want an integrated setup both test prep and school education should happen at one roof it's a great opportunity and that explains my right to win. If I can create value for a grade 8th student, grade 9th student and 10th student in a Vidyapeeth setup I can create the similar value in terms of school environment. Second thing is from a brand perspective, if you see, parents instead of sending their kid to a local -- hyper-local school, vis-à-vis compared to a national brand whose curriculum, pedagogy, data-driven systems, and technology is giving more assurance for their kid to have the right foundation to prepare for IIT-JEE, NEET, as well as UPSC and all test prep; so it is the test prep branded school is what the playbook is. And if you talk about our online pedagogy, Curious Junior starts from grade 3, our online mega batches which are affordable online mega batches already start from our grade 6.

So we have all these curriculums in place, pedagogy in place, teacher training and technology in place. So I think we have all the right to win. For example what is my competition here? Here is my competition is a local non-tech led schools where the curriculum and the standard practices are not there. So even it is much more easier market to win and create brand is what we have seen in our initial interventions. Gaurav Malhotra: Got it. Prateek just follow up. So you mentioned that say in the next four to five years, you would think that you know K-12 will become larger than say test prep and you know if you just sort of focus on the offline business because the offline business is also sort of keep growing. So just from a -- right now there's INR400 crores has been allocated, but suppose I assume say I don't know thousand students per school right? So even to get to like say one lakh students you know it'll probably say thousand say 100 schools right so I'm just trying to understand how big is the potential capital allocation for this segment say if you were to think from a four to five year perspective and how do we sort of think about it?

Prateek Boob: So when I say K-12 it's broadly classified into schools as well as online which is much larger number of students. So for example, in Curious Junior we are currently teaching 30,000 students. The School Integrated Program that is running in offline existing schools, it has 5,000 students and INR25 crores of top line, and in the Tender Heart school, there are 5,000 students, 5,500 students existing. So this is a broader vision for the company. At this point of time, what is the significance of this? See, in the overall INR4,000 crores top line, the contribution of this initiative is less than 1% at this point of time, if I add Curious Junior, School Integrated Program, and the existing schools together. The playbook is the same, to grow online in this segment significantly and to start a hyper local school. Of course, to reach to 1 lakh students we have to have 100 or more schools in place. But at the same time if you see the unit economics of this business student takes admission in grade 1st, it is there till grade 12th. So it's a great LTV business as well. At a steady state, we have seen schools making 25% to 35% margin business and we will bring -- we will integrate test prep into the schools that is a great synergy because by doing it we could able to charge right amount of fees, we could able to save time for the students and create value within the school premises itself. So did I answer your question? Do you have any follow-up question on this? Gaurav Malhotra: No this is good. Thank you so much. Moderator: Thank you. Next question comes from the line of Swapnil Potdukhe with JM Financial. Please go ahead. Swapnil Potdukhe: Hi, thanks for the opportunity. I just wanted to understand the state of your marketing spends, how much of it is happening to drive traffic on the online side and then these new initiatives that you are talking about the K-12 and others. How do you distribute that? And a related question to that is, like you mentioned that you have started spreading out the investments on marketing over the entire year. Does that mean that your 4Q marketing spends this year will be significantly lower in percentage terms or absolute terms versus the previous year? Prateek Boob: So I'll address the first part of the question and Amit will take the second part. So in terms of my early exam categories engineering entrance and medical entrance the spends are less than 2% to 3% is just the awareness is spent because we already have a good position in the Hindi heartland, in our early exam categories. But couple of my newer exam categories the marketing spends is to generate awareness is to generate top of the funnel, signups and to reach to a critical number of students where you need not to spe

nd further marketing dollars to have a top of the funnel then the word of mouth starts kicking in then students keeps on adding the new student. So to answer your questions the spend in the early exam category is 2% to 3% and the newer exam category is slightly more. As well as the spend is going in the southern part of country to

generate awareness to have enrolments. And in terms of leverage coming out Amit will take it up. Amit Sachdeva: So I think Swapnil just two points I think Prateek had mentioned and summarized it really well. Our marketing spends if you look at from any other education company are almost like 20%-25% of any other player who is in the online business. I think the reason why our spends -- and we typically don't call them marketing spends, I think these are more cost of distribution for us because our playbook is largely community led playbook. So I think like we mentioned right at the start of the call is that you create communities on social media, on YouTube start you know putting in content out there then there is general traction that happens there. Students you know start appreciating the content being put up there because these are like online teachers who are really good at their subject matter knowledge. Student comes on to the app, still has the ability to consume free content and then depending on all the value adds that he sees in terms of buying a batch which is our core product, he ends up buying a batch and that is how the entire monetization channel works for us you know. So in in terms of like the point that earlier you were making earlier, this is the big chunk of this thing. The point I was earlier making in terms of leverage, if our last year marketing spends were INR276 crores which was roughly 9.6% of the last year revenues. The nine months number for you know this year is INR266 crores which is roughly 8.9% and the corresponding number for the nine months last year was INR183 crores you know. But if you look at it the point, I was making in terms of marketing spends lower for us this was in terms of the marketing spend as compared to last quarter. On a full year basis we are anticipating that we will significantly be lower than the 9.6% that we spent last year. Two reasons for it, like I said I think the incremental spends that we did in the first Q1 and Q2 that actually gave us a higher ROI. And the reason why the marketing spends will not be lower this quarter than as compared to the Q3 of this year is largely because of the Vishwas Diwas and the student acquisition that starts happening for the next academic session but what we believe anything between 8%-8.5% is where we will land the full year marketing spends for this year which is significantly lower than 9.6 percentage of the last financial year. Prateek Boob: Can we take to the next question? Amit Sachdeva: Yes. Moderator: Mr. Potdukhe are you done with the question? We have no response from the line of Mr. Potdukhe. We'll move to the next. The next question comes from the line of Pratyush Kamal with Incred Equities. Please go ahead. Pratyush Kamal: Hey hi, Amit and Prateek, congratulations on the good set of numbers first. There are few things which is on my mind when I saw that you are getting into the acquisition of the schools. So definitely we definitely have seen a lot of private equity deals happening in the last couple of

years in the schools but again, the question comes is that which type of schools are you actually catering to? Are you getting into the premium schools or you are getting into the market of economy or sub-economy of schools? That is the one question because again the margins the EBITDA margin the PAT margin totally definitely is relevant and gets impacted on the kind of schools you are operating in? And second question is regarding, what kind of margins etcetera wh

ich you see coming off from these schools? And do you also see that these schools would be a GTM for the add-on services which you would be providing in terms of, online test prep or giving the online test prep coaching or something like that for JEE for IIT or for NEET etcetera which you have already talked about? So is the schools not just an offline center for gathering new people for gathering or catering new K-12 students, but is it also a go-to-market strategy for you in terms of, getting the access of these people getting the access of these students and getting them enrolled in your test prep division in the online mode. So how do you see the plan coming up and ramping up? Prateek Boob: Yes, in the interest of time, I'll quickly answer your question is. Your first part is the price point for the students. So anywhere between INR70,000 as annual fees to INR1.5 lakh, depends on the metro tier 1 tier 2 tier 3 cities essentially these are the CBSE schools is what the price point is. And the margin can vary in between 20% to 40% depends whether you own the property or it's a lease property. And coming back to the synergy part which is very important. See a school going kid so the positioning is above average or premium in between and the synergy between test prep and school is very organic. Grade 9th is the year where the student start preparing for their medical and engineering entrance exam. And grade 11th they become quite serious and either they opt out of the schooling -- opt for a dummy schooling system or they continue to go school in the morning time and stretch for their specialized preparation in the second half of the day. So existing school ecosystem kids will get benefit with our test prep courses. We can prepone their decisions. For example a commerce kid who is going in the 11th grade, can start his CA preparation journey in grade 11th itself. For a UPSC aspirant, the real foundation we can start building from grade 11th onwards, grade 9th onwards only. So it is test prep integration. The question whether it will it will fuel our existing Vidyapeeth center? Partially yes, but if we see Ranchi as a city where we have done Tender Heart, we are number one in offline now we are number one in schooling. So that is a number one position in terms of one city which is a state capital in terms of coaching as well in terms of school prep that gives you a lot of cross synergy and strength. So yes, there is a definitely a great synergy with existing Vidyapeeth as an ecosystem. Pratyush Kamal: Got it. And when you say that margins would be 18% to 44%. Definitely I totally understand that it… Moderator: Mr. Kamal, sorry for interrupting, your voice is breaking.

Pratyush Kamal: Am I audible now? Moderator: No, it's still breaking. Can you come a little closer to the mic and speak? Hello, we have lost the line of Mr. Kamal. We'll move to the next, that is Mr. Shubham from Nirmal Bang Equities. Please go ahead. Shubham: Hi, thank you thank you for the opportunity. My first question is that in the last conference call you mentioned that you will be disclosing EBITDA separately for offline and online from the next financial year. So this school thing that is coming up, will this also be included in offline or will it be reported separately, and could you explain what greenfield means here—are we going to be capex-heavy here, so how will it work? Kindly explain that. Prateek Boob: So sir online and offline segmental reporting we will do from the 1st of April and school will not be a part of our offline business, it will be a part of our others business at this point of time. And what I mentioned about greenfield, four such schools are happening, and in this, the land and property is a build-to-suit model where the owner is constructing the school as per our need and we are leasing out these properties for nine years. And therefore such schools will be coming a

nd it's completely asset-light. And that too for the next financial year it will be a very small portion of our overall bottom line and top lines. Moderator: Thank you. Mr. Shubham, please rejoin the queue for more questions. The next question comes from the line of Ritesh Iyer with Ritz Capital. Please go ahead. Ritesh Iyer: Thank you. Sir, my question is on your AI capabilities. First of all, how are your Aryabhata and AI capabilities different from other players, and a follow-up to this would be that since players like Gemini and OpenAI are coming into education, so how confident are you that you'll be able to outperform their models when it comes to education? Prateek Boob: See, one thing which makes us very different is that, all the AI tools we have built, be it AI Guru or AI Grader, all of these tools are completely designed for Indian test prep kids. And it is completely designed by our own in-house proprietary data from millions of students visiting daily, the lakhs of questions they are asking, their doubts, as well as the data generated from their learning behaviour and patterns, from all those behaviours and data points we have fine-tuned and implemented a RAG layer. As well as, if you see, now AI is becoming an integral part of the student's life cycle. AI has made learning hyper-personalized, it has added a lot of value to students' lives, as well as a great value addition in teachers' lives with the help of AI. Teachers are now more efficient. AI is designing PPTs, AI is designing question papers, AI is evaluating the answer sheets of the kids. So we have very beautifully integrated AI into the teachers' life cycle as well. Quickly on your point on Gemini and other folks coming in education. See education is a very niche use case. A teacher cannot go wrong. So if you look at the accuracy of our models, it is better than Gemini and the existing GPT because it operates on a RAG layer which is a fine-tuned layer on top of these large language models. That gives us a great opportunity.

We have launched our own small language models like Aryabhata as well as another small language model for concept clearance; the cost of all these models is one-tenth of Gemini and GPT. So we are among the top players in terms of AI in education and we continue to be bullish about it, and the way the ecosystem is developing, we see this as a great opportunity. Moderator: Thank you. Mr. Iyer, please rejoin the queue for more questions. Next question comes from the line of Ayushi with Arth Vritt Capital. Please go ahead. Ayushi: Hello, hi team. I just had two questions around it. So with the recent incorporation of a hostel services entity, how do you intend to integrate and scale it across your existing student ecosystem? And second question being PW Talks caters to a separate target system. How large do you believe the opportunities for PW Talks as there are already many large players doing it. Prateek Boob: Yes, thank you will I'll quickly answer both the questions. So about the hostel entity this is designed to integrate a hostel business of our subsidiary Xylem which was fragmentedly run in in Trivandrum as well as we have a very small student housing opportunity at various parts of the country. So that's why we thought that we will integrate the entire housing business which is very small which is again less than a percent at this point of time into an independent entity. And this we don't have any aggressive plans to grow that business, that is just to facilitate couple of student and parent need and this will be in some of the hot pockets like Patna, like Trivandrum in India. The second is a very good question about PW Talk. See, our brand is very strong in the Central/North India, and we see a common problem there among students, which is English speaking skills. Especially in government exams, especially after exams like UPSC and GATE when students move to

wards their professional careers, they face many hurdles in English speaking; so for that, we developed PW Talk which is a completely asset-light tech product, where you learn English by talking to an AI agent and watching PW's recorded lessons, bite-sized learning lessons. And this initiative is also 18 months old; we haven't talked about many of these initiatives in our DRHP, but by the end of this year, this initiative will reach a million-dollar ARR run rate. And we have also beautifully integrated its monetization within the student journey in the app. For example, when you go to purchase something on Blinkit or Zepto and you get to see frequently bought together items and you add those items to the cart. In the same way, if a student is preparing for a government exam and is going to purchase a batch, they can also add the English speaking course along with it. We will also put digital marketing efforts on this to leverage the top of the funnel which is our YouTube ecosystem. But this is an assisted learning environment, and if you see the biggest company in the world in education at this point of time, it is Duolingo. And within India, I see that it's a large opportunity because I am in the hindi heartland; with a very small team of 10 people and a fraction of a few lakh rupees of investment in content, we created this, and approximately a million-dollar annual run rate will be achieved by the end of this month/year. We served a happy first 10,000 students in this, so we do see this as a great

opportunity, especially after the AI play; the only way to learn English is that you have to speak English. I was a Hindi medium student, but my first job was in Chennai, and there neither anyone knew Hindi nor I knew English, so that's how I learned English. We have benchmarked against global standards, you all should use the PW Talk application too, give it to your domestic help, and we have seen that after three to six months of dedicated effort, people's efforts in spoken English are actually translating into outcomes. Although we are bullish about it but still it's like very small percentage of revenue at this point of time. But if I see globally, Speak.ai is a unicorn company which helps Spanish as well as Korean people to talk in English as well as Duolingo is another example. So it's a large opportunity in the long run. Moderator: Thank you. Ms. Ayushi, please rejoin the queue for more questions. Next question comes from the line of Yashika Pancholi with Centrum. Please go ahead. Yashika Pancholi: Hello Hi, Can you hear me ??? Moderator: yes Yashika Pancholi: Hi Prateek Hi Ankit, Hi Amit congratulations. The results are fantastic. Immense potential in the company, it's great. I just want to hear a little bit about going forward in the next five years of five to seven years, in the K-12 what are we looking at as far as revenue share is concerned? I know you cannot give a definite number but even a conservative ballpark would be very helpful? Prateek Boob: Yes. So, K-12 is a large possibility. It is a large vision for the company and it is growing at a very rapid rate in terms of Curious Junior, in terms of our school integrated programs as well as brick-and-mortar schools. But the right, like if you see if you see China as a benchmark, 40% of the top line comes from K-12 and 30% from their test prep business. So K-12 will become larger than test prep is what we anticipate down the line seven years because that growth is aligned with the domestic consumption story of the country and we do see a great value addition in terms of student empowering in these formative years. I don't have a like a number which will happen seven years down the line but the early trends suggest that it is going in a very right direction. Moderator: Thank you. Ms. Pancholi, please rejoin the queue for more questions. Next question comes from the line of Diwakar Shukla with Amaya

Capital. Please go ahead. Diwakar Shukla: Hi team, congratulations on amazing results. So my question to you is, are you planning like what is the road map for the M&As piece of PW? Are you planning to do any M&As outside India as well? And the second part to the question is like are you planning to do M&As in the online space only like you just did in Sarrthi or do you intend to do it in the offline space as well?

Prateek Boob: See, consolidation is one of our major thesis for why we listed and raised a good primary capital. In terms of online and offline, that's not how I look at these businesses. The quality of a good education business is defined by the students' attendance, outcomes, and overall student NPS; so M&A is done keeping all these things in mind. Outside India, the answer is a simple no. We are not evaluating any assets outside India right now, nor are we going to acquire any. We don't have the bandwidth to go outside India at this point of time. In terms of within India, yes, we are evaluating both offline and online assets and we will announce a couple of M&As in the next two quarters as well. But the thesis here is the synergies with the group. Any such exam categories which are not in our target audience, which we cannot do, and someone there has built a good business with good EBITDA. That is another core thesis of the company, that we generally acquire profitable entities and the range of the multiple we give to these companies is anywhere between eight to twelve. And we believe in an earnout structure where we don't take one-shot majority, we take anywhere between 25% to 50% equity as the first go and a three-to-four year integration and earnout structure for the founder. Sarrthi is the right example as you mentioned, the very similar playbook where we want founders to run the company and transition the brand with us for the upcoming three to four years. But we are in talks with a couple of good domestic offline players as well as we are in talks with some pure online players like Sarrthi at this point of time. Moderator: Thank you. Ladies and gentlemen, that was the last question for today. For more questions reach out directly to Physicswallah management team. I would now like to hand the conference over to the management for closing comments. Amit Sachdeva: Thank you everyone for joining the earnings call today. I think the number of questions that came on the K-12 platform also re-emphasizes the fact that we are thinking in the right direction. Also while we talked about K-12 a significant portion of our revenues still come from test prep. We grew almost like 97% CAGR for the last two years and we will for a full year guidance we will grow in the range of 32% to probably 35% this year, with strong growth coming in both in the online as well as offline and our commitment to continue to grow in both these segments. With this thank you again and we look forward to you all joining in the next earnings call. Thanks. Moderator: Thank you. On behalf of Physicswallah Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.